

Toward Active Custodianship of the WTO

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How the Iran Conflict Can Strengthen the World Trading System

Introduction

The Fourteenth Ministerial Conference of the WTO (MC14), held in Yaoundé in March 2026, was hardly a success.¹ No agreement was reached on a work program to reform the organization and reestablish a multilateral dispute settlement mechanism, let alone on specific reforms. The moratorium on customs duties on electronic transmissions was allowed to lapse for the first time since 1998. The Investment Facilitation for Development agreement was blocked once again. The draft MC14 texts return to Geneva-based WTO Ambassadors with uncertain prospects.

MC14 underlined the reality that the governments of the world's largest economies are no longer prepared to invest the necessary political capital to sustain the current rules-based multilateral trading system. Yet many small and medium-sized economies remain dependent upon that system for their prosperity. Their governments and representatives in Geneva have repeatedly affirmed their commitment to rules-based trade. They say they want to support it. They say they want to protect it.

But affirmation is not enough. What is needed now is a strategy for active custodianship: *practical steps that demonstrate commitment to the system through action governed by an overarching logic to preserve as much of the benefits and contents of the WTO rulebook as is possible.*

The Iran Conflict affords a near-term opportunity to develop such strategies (plural as governments may not be entirely aligned on how to pursue

custodianship). A crisis that is disrupting energy, fertilizer, and food supplies across every continent is precisely the moment when supporters of the trading system can show what active custodianship means in practice. This memo sets out what that could involve in the current context.

As this paper was finalized, there was welcome news of a two-week ceasefire in the Iran conflict. Unfortunately, such a ceasefire, if it holds, does not eliminate the harm already created by the dual shock outlined in the next section. Mrs. Christine Lagarde, President of the European Central Bank argued on 25 March 2026, cautioned that ending the conflict would not return economies to normal quickly. She poured cold water on notions that the "lost energy" from the Gulf region could be recovered quickly. Disruption, she argued, may go on for years (*Economist*, 2026).

1. The Dual Shock

The closure of the Strait of Hormuz has produced two simultaneous crises that are still unfolding. One concerns energy. The other concerns fertilizer and food. Both are global in reach. Both are worsening. Both amplify shocks caused by the invasion of Ukraine by Russia in 2022.

Energy

Approximately one-fifth of the world's traded oil and a significant share of liquefied natural gas normally transit the Strait of Hormuz. That route is now all but closed. The IEA head has warned that if the Strait does not reopen, the volume of crude

¹ The welcome announcement of 66 members, including the EU and China, at MC14 that they would be implementing an E-

Commerce Agreement that they had negotiated at the WTO was a distinctly positive development. It was not formally part of MC14.

oil and refined products lost in April will be double that lost in March (Moore, 2026).

The International Energy Agency reports 72 energy assets damaged in the region, one-third of them severely (Moore, 2026). The IEA has coordinated the release of 400 million barrels from emergency reserves. The G7 has convened extraordinary crisis talks (Foy, 2026).

The impact is falling hardest on the Least Developed Countries (LDCs) and other lower per-capita income nations, which cannot afford either large stockpiles or the infrastructure to tap diversified energy sources. The Philippines has declared a national energy emergency. Bangladesh has imposed four-hour daily supply cuts to petrol stations. Thailand is encouraging remote work for civil servants. Indonesia has asked public employees to work from home once a week. Zambia has suspended Value Added Tax and excise duty on petrol and diesel (Fleming et al., 2026).

Richer countries can outbid poorer ones for scarce cargoes. The adjustment therefore falls disproportionately on those least able to absorb it. The OECD estimates that, under a downside scenario, Asia-Pacific economies would suffer a GDP reduction of nearly one percent (Fleming et al., 2026).

Fertilizer and food

The Hormuz blockage has simultaneously cut off around a third of globally traded urea, 45 percent of sulfur exports, and 30 percent of ammonia (Savage, 2026a; Krebs, 2026). Nitrogen fertilizer is produced from these inputs. It is an ingredient in roughly half of global food production.

These supply reductions come at a critical time. Northern hemisphere farmers apply nitrogen to their crops during a four-week window in the spring (Savage, 2026b). That window is now open. Winter wheat across the United States, Europe, and parts of the Middle East needs its final nitrogen application within three to four weeks

(Krebs, 2026). Corn planting estimates are already being revised downward.

Urea prices have risen by more than 40 percent since the conflict began (Savage, 2026c). The Qatar-based fertilizer producer QAFCO halted production following attacks on the Ras Laffan complex. Fertilizer plants in India, Pakistan, and Bangladesh have been forced to cut or halt production because of gas shortages. More than 1.1 million tons of fertilizer and fertilizer inputs are currently stuck in the Gulf on ships that cannot transit (Savage, 2026c).

Some analysts describe the situation as potentially worse than the 2022 food shock triggered by Russia's invasion of Ukraine. In 2022, Russian exports continued and markets could adjust. This time, the disruption is a physical barrier. The agricultural damage clock runs in weeks. The food security clock runs in months. Food price spikes above 30 to 40 percent have a documented correlation with political instability in fragile states within six to eighteen months (Krebs, 2026).

The salience to policymakers of the dual energy and food shock is amplified by their unfolding societal fallout, prompting dozens of governments to act.

2. The Reflexive Policy Response: Escalation by Instinct

Governments are already responding to the dual shock. They are responding in volume, at speed, and largely without coordination. The Chokepoint Monitor, maintained by the Global Trade Alert, has documented 203 policy interventions linked to the closure of the Strait of Hormuz undertaken by 77 jurisdictions in under seven weeks (Global Trade Alert, 2026).²

The pattern is revealing. The single largest category of response is supply management: strategic reserve releases, hoarding bans, fuel purchase limits, and rationing. Fifty-five measures fall into this category. The second largest is domestic subsidies: fuel tax cuts, price absorption

² Measures recorded as of 1630 Central European Time on 7 April 2026.

by state-owned enterprises, and emergency consumer aid. Thirty-eight such measures have been documented. Price controls account for 26. Export barriers come fourth, with 24 measures. Capital controls and regulatory measures make up the remainder.

Resort to export barriers deserves particular scrutiny. They take multiple forms. Some are outright bans on fuel or food exports. Some are export duties or excise surcharges. Some are licensing requirements that make exports conditional on prior government approval. And some are informal instructions to producers to halt overseas shipments, never formally announced and confirmed only by industry sources and diplomats (White, Anantha Lakshmi, and Fildes, 2026). This last category is especially corrosive of confidence.

Seventeen jurisdictions have imposed export barriers. They include economies at all levels of income, large and small, and from every major region. The measures cover petroleum products, natural gas, fertilizer, and food. In several cases, they were introduced within days of each other, suggesting an emergent contagion dynamic.

The IEA head has publicly urged all countries not to impose export bans or restrictions, warning that trading partners, allies, and neighbors will suffer. Dr. Fatih Birol has also noted that some countries are adding to their stockpiles during the coordinated emergency release, undermining the effect of the latter (Moore, 2026).

In contrast, only a handful have liberalized imports of energy or fertilizer inputs (Global Trade Alert, 2026). This contrasts with the COVID-19 pandemic, when dozens of governments temporarily eliminated tariffs on medical goods. The asymmetry may reflect the fact that energy and fertilizer tariffs are sources of revenue that governments under fiscal pressure are reluctant to forgo. Plus, for reasons that differ across economies, agricultural producer interests are able to resist import liberalizing moves that alleviate shortages.

The rush to unilateral action by dozens of governments contrasts with the muted response from the world's principal multilateral trade body.

3. Institutional Passivity, Again

This is the third major supply-chain crisis in six years. In each case, passivity best described the collective response of governments. Put differently, WTO members made little use of the available multilateral trade machinery in formulating and aligning their crisis responses.

During COVID-19, the WTO gathered voluntary notifications and published reports. Some useful steps were taken by individual members, notably mid-level countries. Singapore and New Zealand committed to keeping supply chains open. Canada led a 49-country pledge on food trade (Wolff, 2020). One effective single-subject General Council session was convened. But these efforts were fragmented, late, and never coalesced into a sustained institutional response.

During the Ukraine-Russia war, the Director-General spoke about the disruptions. The institution monitored. It did not act.

Now, during the Iran conflict, the same pattern is repeating. Other institutions are stepping into the vacuum. The IEA is coordinating reserve releases and publicly urging restraint on export bans (Moore, 2026). The G7 is holding crisis talks (Foy, 2026). The World Food Programme is seeking emergency funding. The WTO is silent.

While serving as a Deputy-Director General of the WTO, one of us observed during the pandemic that the institution must not “lapse into a habit of lassitude, as if there were no possible trade responses to a crisis” (Wolff, 2020). Empirical research has shown that uncoordinated responses are particularly damaging when many countries restrict the same goods at the same time (see, e.g., Anderson and Martin, 2011; Espitia, Rocha, and Ruta, 2022; Martin, Mamun, and Minot, 2026).

The cost of repeated institutional passivity is cumulative. Each crisis in which the WTO is absent reinforces the perception that it is largely irrelevant when it ought to matter most. Passivity cedes policy initiative to other institutions. Limited accountability concerning resort to export controls erodes the confidence of importing nations in the reliability of cross-border supply. All of this

provides ammunition to those who argue for self-sufficiency and import substitution (as if domestic hold-up problems and supply failures never happen).

Institutional passivity is not preordained. Indeed, this is the moment when those governments that say their living standards depend on open trade should step forward with constructive steps that demonstrate the value of the tenets of the WTO.

4. Active Custodianship in Practice: A Program for the Fallout from the Iran Conflict

The steps proposed below do not require consensus among the WTO membership. They do not require the cooperation of the largest players. They do not require new WTO rules or amendments to existing agreements. They could become part of the custodianship strategies adopted by governments that say they support the system, whose execution is tailored to current circumstances.

The following four steps are ordered from those requiring the least inter-governmental alignment to those requiring more.

4.1 Voluntary explanation of crisis measures

Governments taking crisis-related trade measures should notify them immediately to the WTO. But notification alone is insufficient. The COVID experience showed that bare notifications, arriving late and incomplete, did little to build confidence.

What is needed is a practice in which the government imposing a crisis measure comes forward voluntarily to explain it. The explanation should cover

1. the specific rationale for the measure, including the triggering event,
2. the evidential basis upon which the measure was taken,
3. the choice of policy instrument and the alternative measures considered but rejected,
4. the product coverage and why it is no wider than necessary, and

5. the expected duration and, if open-ended, the factors that will determine its retention or removal.

The key word is “voluntarily.” The government comes forward to offer this explanation, rather than waiting to be asked. This is not a legal obligation. It is a norm of responsible behavior.

The current crisis illustrates why this matters. As noted earlier, some export restrictions have been imposed without formal public announcement (White, Anantha Lakshmi, and Fildes, 2026). Arguably, trading partners cannot assess what they cannot see. But suspicions that trading partners are undertaking below-the-radar-screen measures may exacerbate fears about security of supply among decisionmakers in national capitals, triggering a self-reinforcing cascade of trade restrictions.

Governments that explain their crisis measures and specify their expected duration and removal will see their exporting firms retain some credibility as reliable suppliers. Governments that impose undeclared restrictions will not. In these situations, the unhelpful instinct among some officials that transparency and accountability are all downside is countered. The premium on exporter or supplier reliability is growing over time as crisis follows crisis.

Such practices would also serve the domestic interests of trade ministries. If trade officials are seen as a source of intelligence about foreign crisis measures, their institutional standing within government could rise, thereby reinforcing the perceived salience of the WTO for its members.

4.2 Design disciplines for temporary crisis measures

The norm of non-resort to export bans has broken down. Crises now occur so frequently that emergency exceptions have become routine. When the exception is routine, it needs design standards. In a world where rivalries between states are intensifying, the increasing resort to military and security measures is having knock-on

effects for ordinary trade, as the Iran Conflict demonstrates.³

The Chokepoint Monitor data shows that export barriers take multiple forms: outright bans, export duties, licensing requirements, and informal instructions to producers. Each form has different effects on trading partners and on confidence in the system. Outright bans and undeclared suspensions are the most damaging. Proportionate, time-limited, and transparent restrictions are less so.

A framework for qualifying the resort to export restrictions was developed during the COVID-19 pandemic for trade in medical goods (Evenett and Winters, 2020). The following voluntary design principles adapt that framework to the current crisis in energy and fertilizer inputs.

First, any restriction should be publicly announced on the day of its introduction, with the rationale posted on an externally accessible website.

Second, the restriction should be time-limited, no longer than six months in the first instance, renewable with public explanation.

Third, the restriction should take the form of a proportionate percentage reduction in exports from customary levels, not an outright ban.

Fourth, exports should not be reduced by more than 50 percent of customary levels (or some other sensibly-determined percentage threshold).

Fifth, opaque licensing schemes and informal instructions to producers that are tantamount to bans should be avoided.

Sixth, the product coverage should be no wider than necessary to address the specific triggering event.

Seventh, comments from governments of trading partners designed to reduce any unnecessary impact on trade should be welcomed.

These need not be binding rules to be useful.⁴ They are conventions for responsible crisis behavior that have systemic value. Why? Countries will be less willing to liberalize or maintain open markets if they believe that foreign suppliers will cease delivery at critical moments. The willingness to trade openly is contingent on confidence that export controls will not be arbitrarily employed. As with the promulgation of product standards, implementing governments should welcome comments to avoid unintended adverse consequences. Design disciplines on crisis measures are therefore an investment in the conditions that make trade openness sustainable.

4.3 Crisis-specific deliberation in Geneva

Custodians should convene focused, single-subject sessions on the trade dimensions of the current energy and fertilizer crisis. These would not be negotiations. They would be structured discussions about what measures are governments taking, what is the impact on trading partners, what practices are proving effective, and what lessons from the COVID experience apply. The discussions would make all more aware of members' current needs.

Such deliberations serve two functions. They generate information that is useful to all members, custodians or otherwise. And they protect the WTO from accusations of irrelevance during times of crisis.

Ideally, these deliberations would be held in the WTO General Council. During COVID-19, one WTO General Council session was held and was judged effective (Wolff, 2020). Moreover, such deliberation ought to, but need not, draw upon the WTO's transparency and deliberation functions. For example, the WTO Secretariat could provide a compendium of current measures which, to the extent possible, it should verify.

If non-supportive members block General Council meeting agendas or Secretariat contributions, then those supporting the custodial process

³ Arguably there is a case for reviewing export measures on security grounds as well. We do not need to advocate that to make the points here about active custodianship.

⁴ Of course, over time a group of nations could codify these conventions in a plurilateral accord. Multilateralization is possible, if remote given the current levels of distrust between key WTO members.

should organize these sessions anyway and invite all WTO members.

Other international organizations and independent experts could be invited, when deemed useful, to contribute to such deliberation.

4.4 Supply chain continuity commitments

Willing governments should negotiate plurilateral supply chain continuity commitments for energy, fertilizer, and food inputs. These would commit signatories to maintaining trade flows in covered goods during crises, to refraining from undeclared export restrictions, and to facilitating customs procedures for covered products.

A template exists. During COVID-19, Singapore and New Zealand negotiated a bilateral declaration covering medical supplies, which was open to other WTO members. Several countries joined. That declaration addressed both import liberalization and export restraint. Recently, Singapore and New Zealand upgraded their collaboration on supply continuity of Essential Goods.

Consistent with longstanding multilateral trade practice, the logic here is reciprocal. Importers commit to maintaining open cross-border sourcing regimes for covered goods. Exporters accept the qualified disciplines on export restrictions described above. Both sides gain. Importers receive greater assurance of supply and are less likely to take steps to substitute imports with local supply. Exporters retain access to larger markets and the economies of scale that come with them (Evenett and Winters, 2020).

Such commitments could be time-limited. Five years in the first instance. They could be open to all WTO members. In calmer times, they could form the basis for more permanent systemwide arrangements. But don't let the perfect be the enemy of the very good.

5. Who Should Act and Why Now

Officials from leading international organizations and central banks expect the fallout from the Iran Conflict to last for months to come. The program for governments outlined here is not a call for

another attempt to foster a consensus among the WTO's 166 members. It is not a proposal that depends on agreement among the largest players. It is addressed to governments that say they value the system and invites them to demonstrate it.

During COVID-19, constructive initiatives came from countries such as Singapore, New Zealand, Canada, Australia, Switzerland, Korea, and Chile. These countries have the credibility, the institutional capacity, and the direct interest. Many of them are exposed to the current energy and fertilizer shock.

Four conditions make this moment favorable. The dual crisis is hitting many economies hard, creating shared incentives to act. The COVID precedent is available, and officials surely recall the harm created by pervasive unilateral action. The steps proposed require no new rules, no consensus, and no permission from the largest players. And trade ministries have an institutional interest in demonstrating their relevance during a crisis dominated by energy and food security concerns.

The proposed steps are not charity. They are in the interest of countries that depend on cross-border supply of energy and food inputs. A government that adopts these practices signals its reliability and its willingness to be accountable. A government that does not signals risk, a point not lost on corporate procurement managers located abroad.

Lastly, the proposed steps could open a new chapter in the governance of the multilateral trading system, as the concluding section of this paper makes clear.

6. Beyond this Crisis: Demonstrating Active Custodianship of the WTO

In the regrettable absence of new multilateral accords, for many, the remit of the WTO has essentially become custodial: preserving what has been agreed, avoiding backsliding as much as possible, and limiting policy uncertainty. Those are legitimate and valuable objectives. However, active custodianship, stewardship of the world trading system, requires a strategy: a governing

logic from which playbooks can be devised quickly in response to disruption and crises.

The current energy and fertilizer crisis is the most immediate and tangible opportunity to conceive of and demonstrate custodianship. That 203 measures were taken by 77 jurisdictions in seven weeks demonstrates that governments are acting. The question is whether they will act in ways that build confidence in the system or in ways that erode it.

If the governments of those economies that are dependent on an effective WTO mobilize a coordinated response to this crisis, they will have done something of lasting value. They will have established norms for crisis behavior that will become a benchmark for government behavior during the next system-wide disruption. They will have demonstrated that the trading system is capable of contributing to the management of global shocks, not merely recording them. They will have shown that custodianship is more than an aspiration.

This crisis too will pass, sooner if the proposed measures reduce the costs of uncoordinated unilateral measures. But the need for such custodianship will remain. The modes of collaboration, even trust, developed during this crisis between the active custodians of the WTO will have another payoff. It will lay the ground for future trade cooperation within the WTO, including the negotiation of plurilateral accords. Increasing the relevance of the WTO after MC14 is an opportunity not to be passed up.

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